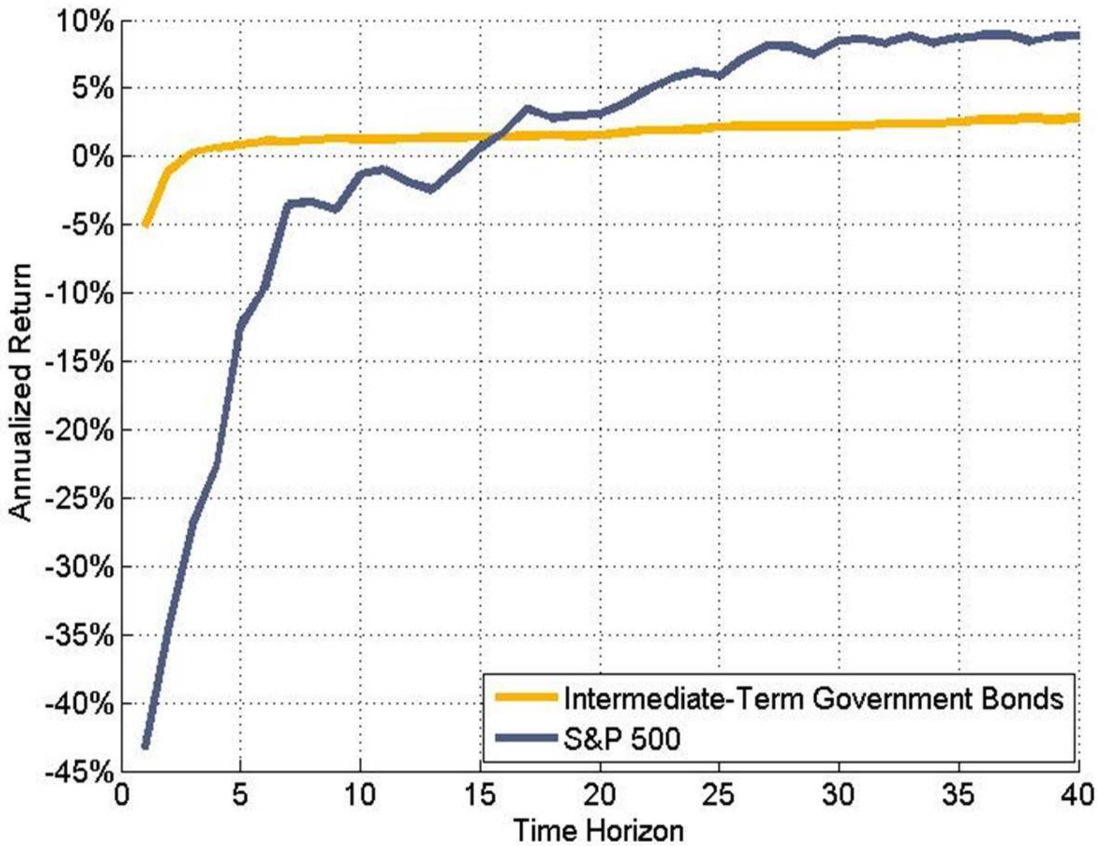

With this optimistic view about stocks in the long run, the objective becomes to maintain a high stock allocation. Prior to the start of constructing a retirement income bond ladder, the argument goes, the stock allocation should be 100 percent. Only enough is taken from the growth portfolio to construct the desired bond ladder. Someone with greater risk aversion can lock in a longer spending stream, which devotes more to bonds, and then allow the remaining stocks a longer time to compound before needing to be sold. To the extent that this provides an improvement over traditional asset allocation, it helps devote as much as possible to growth assets, and it helps avoid having to sell stocks after momentary drops. Nothing will need to be sold until it is necessary to lock in more spending. Only the minimal amount needed to lock in spending should go to specific individual bonds, and the rest should be earmarked for growth.